

technology will change the insurance industry, as these firms hope to win valuable contracts with deep-pocketed insurance companies that need help navigating the potential disruption. Deloitte believes that “a blockchain could allow the industry as a whole to streamline its processing and offer a better user experience for customers who have to make a claim. Simultaneously, storing claims and customer information on a blockchain would cut down fraudulent activity.”¹⁷

Innovative investors can get a leg up on which insurance companies may be good short-term investment candidates and which to avoid, based on the action they take given the predictions of well-respected consulting firms. That said, as we have already mentioned, we view many of these DLT implementations as band-aids to prolong the life of systems that will fade into obsolescence over the coming decades. For the long term investor, careful analysis should be undertaken to understand if insurance companies are pursuing DLT use cases that will provide a lasting and meaningful solution. Lastly, some of the major consulting firms may be so entrenched in incumbent ideology that they too may be blind to the coming disruption.

Recall from Chapter 5 that there are already companies like Etherisc providing decentralized insurance policies. The disruption can go beyond the capital raising and claims management processes of insurance companies, and into the risk models themselves. For example, Augur’s prediction platform built on Ethereum allows for markets to be created around the outcome of real-world events.¹⁸ The predictive